



FACULTY OF SCIENCES OF THE
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MASTER'S DEGREE IN INFORMATION SECURITY

Systems & Data Security

Public Ledger for Auctions over Kademlia

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Abstract

In this report, we briefly describe the application we developed and discuss the decisions we made.

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Acronyms

DPoS	Delegated Proof-of-Stake
P2P	Peer-To-Peer
PoS	Proof-of-Stake
RPC	Remote Procedure Call
UTXO	Unspent Transaction Output

1 Introduction

Kademlia [1]

This report is structured as follows: §3 describes the implementation of a Kademlia P2P network and some optimizations that were implemented. §5 discusses some challenges that come with the potential implementation of a reputation system. Finally, §7 concludes the report.

2 Problem & Proposed Solution

Similar to Peermart [2].

Our implementation is divided in three parts:

- **P2P network:**
- **Public Ledger:** The public ledger should be able to store auction transactions.
- **Auction Service:**

3 Kademlia Network

In addition to the four RPC of the Kademlia protocol, we implemented two additional RPCs: one to broadcast a message to all the nodes in the network, and one to

- Concurrency parameter α

3.1 Sybil & Eclipse Attacks

S-Kademlia [3].

To prevent Sybil attacks [4], When a new node joins the network, their node ID must be mined in a process that involves Completer. This ensures that it is not computationally feasible for an attacker to flood the network with nodes under their control, as the process of joining the network requires a significant amount of work.

4 Public Ledger

Every transaction is added to a transaction pool containing pending transactions, wich will then be used to generate a new block and add it to the ledger.

As such, the balance of a wallet is the sum of all UTXOs relative to that wallet. By following this approach, previously spent transaction outputs are not accepted in subsequent transactions, which solves the *double spending problem*.

Due to timing constraints, we were not able to implement **DPoS**. Instead, we implemented **PoS**. In this case, we consider that all nodes in the network can act as validators. Then, when validating the transactions of a block, we choose a validator “at random”, taking into account their stake in the network – i.e. nodes with a higher stake are more likely to be chosen as validators. Nevertheless, to implement Delegated Proof-of-Stake (**DPoS**), it would suffice to **completar**.

5 Reputation System

Due to time limitations, we were not able to implement a reputation system. Regardless, our idea was to implement a system that allowed us to identify unreliable nodes within the network. As a consequence, these nodes would be used less often for routing and would potentially be removed (**ignorados pq nao da para remover um nodo ?**) altogether from the network.

To achieve this, we would compute and publish a **reputation** score to each node in the network, which would be then updated based on the behaviour of the corresponding node – deviating from the protocol would lead to a decrease in reputation, whereas adherence to the protocol would result in an increase in reputation. While implementing such a system may seem a simple task, it is by no means a trivial task due to several intricacies.

For example, there is the possibility of a node accumulating excessive positive reputation, which would potentially allow it to perform negative actions without a significant penalty. To address this issue, different approaches can be considered. We could, for example, implement a system where it becomes increasingly difficult to gain reputation for nodes with high and low reputation, which would make it harder to accumulate reputation and more challenging to recover from negative actions. On the other hand, we could also cap the maximum reputation value to prevent this issue. Finally, we could implement a system where the penalty for malicious actions increases with a higher reputation score. Ideally, a combination of these approaches should be considered.

In addition, such a reputation system should balance accuracy and efficiency. In other words, it should be able to accurately capture a node’s behavior while maintaining low overheads in terms of computation, communication and storage. Finally, it should also be designed to prevent malicious nodes from cooperating to improve each other’s reputation or harm the reputation of other nodes.

6 Auction System

7 Conclusion & Future Work

Unfortunately, due to **timing constraints/time limitations**, we were not able to test our application using Google Cloud's virtual machines. Nevertheless,

... using an identity-based approach, such as the one discussed in [5].

References

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